

VIA EMAIL (rule-comments@sec.gov)

November 18, 2024

Ms. Vanessa Countryman
Secretary
Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549-1090

Re: File No. 10-242
24X National Exchange LLC: Notice of Filing of Application for Registration as
a National Securities Exchange

Dear Ms. Countryman:

24X National Exchange LLC (“24X”) filed an application with the Securities and Exchange Commission (“Commission” or “SEC”) to register as a national securities exchange. On February 27, 2024, the Commission published the 24X Form 1 for public comment.¹ On May 31, 2024, the SEC instituted proceedings to determine whether to grant or deny the 24X application for registration as a national securities exchange (“OIP”).² Commenters submitted six comment letters in response to the OIP.³ On August 21, 2024, 24X submitted a letter responding to the topics raised in the OIP and comment letters submitted in response to the OIP.⁴ On August 21, 2024, 24X submitted Amendment No. 1 to its Form 1, which was published by the SEC on August 27, 2024.⁵ On August 30, 2024, the SEC extended the time for conclusion of the proceedings for 90 days.⁶ During the extension of time, commenters submitted three more comment letters in response to the 24X Form 1.⁷ On November 1, 2024, 24X submitted a letter responding to these three additional comment letters.⁸

¹ Securities Exchange Act Rel. No. 99614 (Feb. 27, 2024), 89 Fed. Reg. 15621 (Mar. 4, 2024).

² Securities Exchange Act Rel. No. 100254 (May 31, 2024), 89 Fed. Reg. 48466 (June 6, 2024) (“OIP”).

³ Letters to Vanessa Countryman, Secretary, SEC, from Richard Montone, JD/MBA Class of 2025 (June 26, 2024); Ellen Greene, Managing Director, Equities and Options Market Structure, SIFMA (June 27, 2024); Benjamin L. Schiffrin, Director of Securities Policy, Better Markets, Inc. (June 27, 2024); Chris Nagy, Research Director, and Tyler Gellasch, President and CEO, Healthy Markets Association (June 28, 2024); Jeffrey Pasquerella, Chief Legal Officer, DriveWealth, LLC (June 28, 2024); and Joanna Mallers, Secretary, FIA Principal Traders Group (July 26, 2024). The comment letters submitted in response to the 24X Form 1 are available at <https://www.sec.gov/comments/10-242/10-242.htm>.

⁴ Letter to Vanessa Countryman, Secretary, SEC, from David Sassoon, General Counsel, 24X (Aug. 21, 2024) (“Second 24X Response Letter”).

⁵ Securities Exchange Act Rel. No. 100839 (Aug. 27, 2024), 89 Fed. Reg. 71471 (Sept. 3, 2024).

⁶ Securities Exchange Act Rel. No. 100884 (Aug. 30, 2024), 89 Fed. Reg. 72917 (Sept. 6, 2024).

⁷ Letters to Vanessa Countryman, Secretary, SEC, from Patrick Blonien, Carnegie Mellon University, and Alexander Ober, Rice University (Sept. 25, 2024); from John Ramsay, Chief Market Policy Officer, Investors Exchange LLC (Oct. 9, 2024) (“IEX Letter”); and Joanna Mallers, Secretary, FIA Principal Traders Group (October 11, 2024). The comment letters submitted in response to the 24X Form 1 are available at <https://www.sec.gov/comments/10-242/10-242.htm>.

⁸ Letter to Vanessa Countryman, Secretary, SEC, from David Sassoon, General Counsel, 24X (Nov. 1, 2024) (“Third 24X Response Letter”).

In addition, on October 23, 2024, 24X submitted Amendment No. 2 to its Form 1, which was published by the SEC on October 24, 2024.⁹ After the publication of Amendment No. 2, commenters submitted two more comment letters in response to the 24X Form 1.¹⁰ This letter responds to those two comment letters.¹¹ 24X urges the Commission to approve its Form 1 expeditiously.

A. Technology Services Agreement with MEMX Technologies, LLC

24X proposes to enter into a technology services agreement with MEMX Technologies, LLC to license the technology underlying 24X. IEX raised questions regarding the role of MEMX Technologies with regard to the Exchange and its compliance with the Exchange Act.¹² As discussed in our prior comment letter, 24X does not believe that such concerns have any merit.¹³ MEMX LLC (“MEMX”), an affiliate of MEMX Technologies, agrees with 24X’s view and submitted a comment letter refuting IEX’s assertions in detail. Among other things, MEMX notes the following:

- With regard to resiliency, MEMX states in its letter that:

Contrary to IEX’s claim that use of MEMX’s proven exchange technology somehow raises unique resilience concerns, the opposite is true. In reality, the strength of MEMX’s technology platform is the primary reason that 24X, LTSE, and several other trading venues have contracted with MEMX Technologies to power their trading systems. MEMX has shown that its technology platform is robust and resilient day in and day out for the past four years. Instead of using our proven technology, IEX would have each new exchange build their own trading platform from scratch. While some may be able to do so successfully, it is unclear why IEX appears to believe that such as-of-yet undeveloped systems would be more resilient than an offering that has been proven over many years in a live production environment.¹⁴

- Contrary to IEX’s assertions, MEMX notes that the use of a common technology platform for multiple registered exchanges is a common practice. Specifically, MEMX states that:

⁹ Securities Exchange Act Rel. No. 101431 (Oct. 24, 2024), 89 Fed. Reg. 86400 (Oct. 30, 2024).

¹⁰ Letters to Vanessa Countryman, Secretary, SEC, from Adrian Griffiths, Head of Market Structure, MEMX LLC (Oct. 29, 2024) (“MEMX Letter”); from Ellen Greene, Managing Director, Equities & Options Market Structure, SIFMA (Oct. 29, 2024) (“SIFMA Letter”). The comment letters submitted in response to the 24X Form 1 are available at <https://www.sec.gov/comments/10-242/10-242.htm>.

¹¹ In its comment letter, SIFMA also repeats its previous comments regarding investor protection and disclosures, varying regulatory requirements, recently adopted amendments to Regulation NMS, primary listing exchange obligations and coordination, and resiliency concerns. SIFMA Letter at 11 and 13-15. 24X previously responded to these comments at length. *See* Second 24X Response Letter.

¹² IEX Letter 2-3.

¹³ Third 24X Response Letter at 4.

¹⁴ MEMX Letter at 2.

Of the sixteen currently licensed U.S. equities exchanges, twelve are operated by just three exchange groups that each operate several independently-registered exchanges using a common technology platform. Nasdaq, Inc. (“Nasdaq”) alone operates a total of nine registered U.S. exchanges, including three equities exchanges and six options exchanges, on its INET technology platform. And while IEX downplays the extent to which existing exchanges provide technology to other market participants, Nasdaq technology is also used to operate at least one ATS that is [*sic*] meets the volume threshold for compliance with Regulation SCI; the securities information processor (“SIP”) for Tape C stocks; and two of three trade reporting facilities (“TRFs”). Other exchange groups, including NYSE Group (“NYSE”) and Cboe Global Markets, Inc. (“Cboe”), have similarly large technology footprints, each using their technology to operate several exchanges across multiple asset classes and a broad array of other important market utilities. Notwithstanding their comments, even IEX seemingly has no problem with using their own technology platform to run multiple exchanges. Just last month, IEX announced its plan to launch a U.S. options market. And far from agonizing over the impact that this may have on resiliency, their announcement touts their decade of experience successfully operating a market technology platform.¹⁵

- IEX’s arguments regarding the use of MEMX technology have already been substantively addressed by the Commission in its order recently approving a similar arrangement between MEMX Technologies and Long-Term Stock Exchange, Inc.¹⁶ MEMX notes that “[u]nlike IEX’s comment letter, which is sparse on legal analysis, the Commission’s order addresses the pertinent legal questions and concludes that this arrangement ‘is consistent with the Exchange Act.’”¹⁷

24X agrees with the arguments set forth in MEMX’s letter.

¹⁵ MEMX Letter at 2-3.

¹⁶ See Securities Exchange Act Release No. 100783 (August 20, 2024), 89 Fed. Reg. 68481 (August 26, 2024).

¹⁷ MEMX Letter at 5.

B. 24X Trading Session

1. Equity Data Plans and Consolidated Market Data

SIFMA has raised concerns regarding the commencement of trading during the 24X Market Session given the current inability of the Equity Data Plans¹⁸ to support such trading.¹⁹ As discussed in our prior comment letter,²⁰ 24X has fully addressed this concern with Amendment No. 2 to its Form 1. 24X will not commence trading during the 24X Market Session until the SIPs can accommodate trading during that period. Specifically, 24X has amended Proposed 24X Rule 1.5 to state the following:

For the avoidance of doubt, notwithstanding anything to the contrary in these Rules, the Exchange shall not commence operation of the 24X Market Session unless the Equity Data Plans (1) have established a mechanism to collect, consolidate, process and disseminate quotation and transaction information at all times during the 24X Market Session that is equivalent to the mechanism established for Exchange Trading Hours other than the 24X Market Session, and (2) have provided the Exchange with notification that they are prepared to collect, consolidate, process and disseminate quotation and transaction information to accommodate the 24X Market Session. Prior to commencing operation during the 24X Market Session, the Exchange will file a proposed rule change pursuant to Section 19(b) of the Exchange Act and the rules thereunder to amend its rules confirming that the Exchange is able to comply with its obligations under the Exchange Act and the rules thereunder during the 24X Market Session and that such Equity Data Plans are prepared to collect, consolidate, process and disseminate quotation and transaction information at all times during the 24X Market Session (“24X Market Session Proposed Rule Change”). The 24X Market Session Proposed Rule Change must be filed with the SEC within 18 months of the SEC’s approval of the Exchange’s application for registration as a national securities exchange. If the 24X Market Session Proposed Rule Change is not filed within 18 months of the SEC’s approval of the Exchange’s application for registration as a national securities exchange, the Exchange will promptly file a proposed rule change to remove the rules that apply to the 24X Market Session.²¹

Proposed 24X Rule 11.16 regarding the 24X Market Session has been amended to further state that “[t]he Exchange will not commence operation of the 24X Market Session until a

¹⁸ 24X proposes to define “Equity Data Plans” to mean “the effective national market system plan(s) that govern the collection, consolidation, processing and dissemination of consolidated equity market data via the exclusive securities information processors (“SIPs”), including (1) Consolidated Tape Association Plan (“CTA Plan”), (2) Consolidated Quotation Plan (“CQ Plan”), (3) the Joint Self-Regulatory Organization Plan Governing the Collection, Consolidation and Dissemination of Quotation and Transaction Information for Nasdaq-Listed Securities Traded on Exchanges on an Unlisted Trading Privileges Basis (“UTP Plan”), and (4) any successor thereto to the named Plan(s).” Proposed 24X Rule 1.5(o).

¹⁹ SIFMA Letter at 8.

²⁰ Third 24X Response Letter at 3-4.

²¹ Proposed 24X Rule 1.5(c) (definition of “24X Market Session”).

proposed rule change as required under 24X Rule 1.5(c) has been approved or become otherwise effective under Section 19(b) of the Exchange Act and the rules thereunder.” These changes address a central issue related to 24X’s Form 1 and should allow the Commission to approve 24X’s Form 1 expeditiously.

Notwithstanding these changes, 24X continues to believe that the 24X Market Session will provide investors with a substantial and important new trading opportunity. Accordingly, 24X has been actively working with the Equity Data Plans to assist with the changes necessary to accommodate the 24X Market Session. 24X strongly encourages the Equity Data Plans to work expeditiously to modernize their infrastructure to accommodate the 24X Market Session in a timely fashion.²²

2. Clearance and Settlement

SIFMA raises questions regarding the 24X Market Session’s potential effect on clearance and settlement, including potential risks raised by the delays in settlement of trades executed between 9:00 p.m. ET and 1:30 a.m. ET and the potential need for additional margin.²³ In particular SIFMA notes that based on NSCC’s current hours of operation, trades executed between 9:00 p.m. and 1:30 a.m. will not be novated and guaranteed by DTCC until they are submitted to NSCC at 1:30 a.m. As an initial matter, the Exchange notes that trades are executed overnight today in the over-the-counter market and, therefore, the issues raised by SIFMA are not novel. Moreover, 24X notes that, as with overnight trading on ATSS today, broker-dealers concerned about potential operational and clearance and settlement risks related to such trading are not required to trade in the 24X Market Session. 24X further understands that DTCC plans to implement additional changes to its processes going forward to further narrow the risks presented by extended trading hours.

C. Limitation of Liability

SIFMA asserts in its comment letter that 24X has not appropriately justified its proposed limitation of liability rule, Proposed 24X Rule 11.13, arguing that the liability caps should be higher in light of the extended trading hours.²⁴ 24X continues to believe that its proposed limitation of liability rule complies with the Exchange Act. The SEC has approved this rule for a number of exchanges, finding that it complies with the Exchange Act, and each of those exchanges continues to operate pursuant to that same rule.²⁵ Moreover, the liability caps were not established based on the number of trading hours on the exchanges. Accordingly, 24X

²² SIFMA also raises the question as to whether, if the Commission extends the hours in which the SIPs operate, it also should extend the hours of the FINRA trade reporting and display facilities (“TRFs”). SIFMA Letter at 8. Trade reporting in the over-the-counter market is a separate question from trade reporting on an exchange. According, 24X does not believe that questions related to OTC trade reporting should impede or delay the approval of 24X’s Form 1. The determination of how and when a TRF is open for extended hours would be made by the participants and the operator of the TRF platform and in accordance with relevant legal requirements, not by 24X.

²³ SIFMA Letter at 4-7 and 11-12.

²⁴ SIFMA Letter at 9.

²⁵ See, e.g., MEMX Rule 11.14

believes that there is no basis for reaching a different conclusion in the context of 24X's Form 1 application.

D. Industry Feedback

SIFMA encourages the Commission to seek and consider "input from a wide range of stakeholders, such as through hosting public roundtables or issuing detailed concept releases soliciting comment on" such "fundamental changes to equity or fixed income market structures or the infrastructure supporting those markets."²⁶ 24X emphasizes that its exchange application has been subject to public comment by the industry and others for the last eight months in accordance with the requirements of the Exchange Act. The industry has had ample time to consider this proposal and to provide its comments, and 24X has made a variety of changes to its application in response to such comments. The proposed change to 24x5 trading from 24x7 trading discussed in the second amendment to its Form 1 is one example of such a significant adaptation. Moreover, 24X will be required to file a rule filing to implement the 24X Market Session. Accordingly, 24X believes that its exchange application has been appropriately discussed with the industry.

E. Benefits of 24X Market Session

SIFMA also stated in its comment letter that "the Commission should carefully consider whether the significant cost increases associated with such an expansion of exchange trading outweigh any incremental benefits the expansion would have on the national market system."²⁷ 24X urges the Commission to approve its exchange application to allow the markets to determine whether its innovative proposal will have market success.

As a preliminary matter, 24X disagrees with the underlying negative assumption in this comment about the benefits of the proposed extended trading hours. Contrary to SIFMA's assertion, 24X continues to believe that the 24X Market Session will provide investors, both domestically and abroad, with a substantial and important new trading opportunity. Not only have other commenters agreed with this business analysis,²⁸ but the number of market participants interested in overnight trading continues to grow. For example, a national securities exchange recently filed with the Commission a proposed rule change to implement extended overnight trading hours.²⁹ In addition, the Blue Ocean ATS currently provides trading during the overnight hours. Moreover, other broker-dealers are expanding their overnight trading offerings.³⁰ Accordingly, there is definitive market interest in the provision of overnight trading hours.

²⁶ SIFMA Letter at 2.

²⁷ SIFMA Letter at 9.

²⁸ See, e.g., DriveWealth Letter at 1 (noting that "[t]rading 24 hours a day, on-exchange, represents an opportunity to strengthen U.S. leadership in capital markets").

²⁹ Securities Exchange Act Rel. No. 101559 (Nov. 7, 2024), 89 Fed. Reg. 90143 (Nov. 14, 2024).

³⁰ See, e.g., Schwab to Expand 24-Hour Trading With Individual Stocks, More ETFs, Wall St. Journal (Oct. 30, 2024).

Moreover, 24X recognizes that innovations in the marketplace, such as the introduction of the 24X Market Session, will lead to changes in how market participants operate, and such changes may involve additional costs. However, 24X does not believe that costs related to innovation should be the basis for the Commission to determine that an exchange application does not comply with the Exchange Act. The Commission did not prevent the expansion of trading from regular trading hours to the pre-market and post-market trading sessions based on the exact same type of increased costs that would be related to the 24X Market Session. In addition, as noted, many market participants are already trading overnight on ATSS or otherwise and, therefore, the introduction of overnight trading on an exchange would involve incremental, new costs. Furthermore, broker-dealers have the ability to choose whether or not they participate in the 24X Market Session – and many already have chosen to participate in overnight trading. However, a broker-dealer does not need to participate in the 24X Market Session if it does not believe it is cost effective. Finally, with regard to the cost of the expansion of the SIPs' hours of operation, the national market system plans approved by the Commission have a process for assigning those costs to the relevant Participants.

* * * * *

We appreciate your attention to this matter. Please contact me at david@24exchange.com if you have any questions or comments.

Respectfully submitted,

/s/ David Sassoon

David Sassoon
General Counsel
24X National Exchange LLC

cc: David S. Shillman, SEC
Kelly Riley, SEC
Rebekah Liu, SEC
Andre Owens, WilmerHale
Cherie Weldon, WilmerHale